



conduct analysis and do a research based on the regulatory guidance and the information available from for individual income tax planning and strategy analyze the duty most effective tax planning strategies aim to reduce and plan for income tax for for Income Tax Strategies something that might be utilized by CPS financial planners. then focus on specifically as corporation and related planning one an individual is 100% as Corporation shareholder owner and what kind of planning strategies would be available to them as an individual or on the entity level do the same in regards to schedule C Small owners sole proprietorships and also the fourth set of recommendations specifically analyze the planning around having a sole proprietorship versus S corporation. these are the strategies that Implement and is applicable to their clients

Below is a structured, planning-focused framework you can plug into your practice—first at the individual level, then drilled down for S corp 100% owners, Schedule C proprietors, and finally the S corp vs. sole prop decision.

## **I. Core Individual Income Tax Planning Framework**

The most effective individual income tax planning for closely held business owners is built around four levers:

1. **Character of income** – ordinary vs. capital gain vs. tax-favored (e.g., §199A, tax-exempt).
2. **Timing of income and deductions** – deferral/acceleration across years and within the year.
3. **Entity and form of compensation** – wage vs. self-employment vs. distributive share vs. return of capital.
4. **Use of tax attributes and limits** – credits, losses, basis/at-risk limits, §469 PAL rules, etc.

Publication 17 functions as the base layer for the individual return—taxable income computation, standard vs. itemized deductions, credits, and general inclusion/exclusion rules.

<sup>[1]</sup> <sup>[2]</sup> From a planner/CPA standpoint, the overlay for business owners is:

- Integrate **business-side planning** (entity, compensation, deductions) with **personal-side planning** (brackets, NIIT, AMT, credits, retirement).
- Manage **AGI and MAGI thresholds** to unlock/retain benefits (e.g., NIIT, §199A, education credits, premium tax credits, child tax credits). <sup>[1]</sup> <sup>[3]</sup>
- Coordinate **self-employment/FICA exposure** with retirement savings and health insurance strategy. <sup>[4]</sup> <sup>[5]</sup>

The rest of this answer walks through what this looks like in practice for:

1. 100% S corporation owner-shareholder.
2. Schedule C / sole proprietor.
3. Comparative planning: S corporation vs. Schedule C.

## II. S Corporation: 100% Shareholder-Owner Planning

### A. Structural and Compliance Constraints

For an S corporation, federal planning must be anchored on:

- **Pass-through taxation:** Items flow to the shareholder's Form 1040 via Schedule K-1; no SE tax on pass-through income itself under Rev. Rul. 59-221. <sup>[6]</sup>
- **Reasonable compensation requirement:** The IRS requires shareholder-employees to be paid **reasonable wages** before non-wage distributions. <sup>[7]</sup> <sup>[8]</sup> <sup>[9]</sup> <sup>[10]</sup>
- **Employment tax regime:** W-2 wages are subject to FICA (employee + employer portions, total 15.3% on base wages). <sup>[10]</sup>

The reasonable compensation requirement is the critical constraint: S corp planning is not “how to pay no payroll tax,” but “how to set a supportable salary and then optimize around it.”

### B. Key Planning Levers for a 100% S Corp Owner

#### 1. Reasonable Compensation Design (Employment Tax/Income Planning)

Objective: Find a defensible wage level that balances:

- IRS expectations for reasonable compensation, and
- The owner's desire to minimize combined FICA/Medicare while still funding Social Security and retirement.

Relevant factors from IRS guidance and case law include <sup>[7]</sup> <sup>[6]</sup> <sup>[9]</sup> <sup>[10]</sup> <sup>[11]</sup>:

- Nature of the business (service vs. capital-intensive).

- Owner's role and time devoted.
- Training/experience, duties, and responsibilities.
- Comparable wages for similar roles in the market.
- Company's gross receipts and source of those receipts (owner services vs. non-owner employees vs. capital).<sup>[7]</sup> <sup>[9]</sup>

Planning moves:

- Use **third-party compensation surveys** and contemporaneous documentation to support a moderate wage.
- In professional service S corps (CPA, consulting, financial planning), lean **higher** on wages because profits are largely from personal services; IRS is more aggressive here.<sup>[6]</sup>
- In capital-intensive or staff-driven businesses, a relatively lower wage vs. distributions can be reasonable if supported by facts.<sup>[6]</sup> <sup>[9]</sup>

## 2. Wage vs. Distribution Mix

Once a reasonable salary is chosen:

- **W-2 wages:**
  - Deductible by the S corp; included in shareholder's W-2 income.
  - Subject to FICA plus income tax withholding.
- **K-1 ordinary income:**
  - Not subject to self-employment tax per Rev. Rul. 59-221.<sup>[6]</sup>
  - Potentially eligible for **\$199A QBI deduction** (up to 20%) depending on trade/owner's taxable income.<sup>[5]</sup>

Planning frame:

- Often target wages around or modestly above the **Social Security wage base**, especially where:
  - There is a desire to build Social Security credits.
  - The QBI deduction is available on pass-through income; the non-wage share can generate a 20% deduction if below phase-out and not trapped by SSTB limits.
- For SSTBs (accounting, consulting, financial services, etc.), if owner is above \$199A thresholds, QBI benefit may be limited; focus shifts more squarely to **employment tax arbitrage vs. audit risk**.<sup>[5]</sup>

## 3. Fringe Benefits and Health Insurance Planning

For a >2% S corp shareholder:

- **Health insurance:**
  - The S corp can pay or reimburse premiums; these are included in the shareholder's W-2 as wages but **not subject to FICA** if structured properly.<sup>[7]</sup> <sup>[8]</sup>

- The shareholder may take an **above-the-line deduction for self-employed health insurance** on Schedule 1, reducing AGI, subject to earned income limits and availability of employer coverage.<sup>[5]</sup>
- **Retirement plans:**
  - 401(k)/profit-sharing, SIMPLE, or defined benefit plans can be established at the S corp level.
  - Contributions based on W-2 wages; therefore, **salary level directly drives the maximum deductible retirement contribution.**
- **Other fringes:**
  - Accountable plans for reimbursements.
  - Section 127 educational assistance, group-term life up to limits, etc., with owner-specific rules.

Planning takeaway: For a 100% S corp owner, the **wage level is a joint lever** for (1) FICA planning, (2) §199A interplay, and (3) retirement contribution and health insurance optimization.

#### 4. QBI (§199A) Optimization

Both S corporation and Schedule C income can qualify as QBI, but entity structure influences the base and the wage/UBIA limitations.

Key considerations for S corps<sup>[5]</sup>:

- **W-2 wage limitation:** For non-SSTBs above threshold, QBI deduction limited by the greater of:
  - 50% of W-2 wages, or
  - 25% of W-2 wages + 2.5% of unadjusted basis of qualified property.
- For SSTBs (typical for CPAs, financial planners), QBI deduction phases out completely above certain taxable income ranges; entity choice does not change SSTB status but can help with **AGI management**.

Planning moves:

- For non-SSTBs with substantial profits, deliberately increasing shareholder-employee wages can **unlock a larger QBI deduction** by boosting the W-2 wage limit.
- For SSTBs near the phase-out, consider **deferring income, accelerating deductions, shifting income between spouses, or using retirement contributions/HSAs** to keep taxable income inside QBI thresholds.

## 5. Income Shifting and Family Planning

For a wholly owned S corp with family involvement:

- Pay **reasonable wages to family members** for actual services rendered; deductible by S corp, taxed at family member's bracket, potentially lower marginal rate.
- Avoid sham arrangements; apply the same "reasonable compensation" lens as for any employee.
- Coordinate with **kiddie tax rules** for minor children and dependents (unearned vs. earned income interactions).

## III. Schedule C / Sole Proprietor Planning

### A. Baseline Rules

A sole proprietor reports business income and deductions on **Schedule C**, attached to Form 1040. <sup>[12]</sup> <sup>[13]</sup> <sup>[14]</sup> <sup>[15]</sup>

- **Net profit or loss** = gross receipts minus "ordinary and necessary" business expenses (Pub. 535 standard applied via Schedule C). <sup>[14]</sup> <sup>[4]</sup> <sup>[15]</sup>
- Net profit flows to:
  - **Form 1040** as business income (subject to income tax).
  - **Schedule SE** to compute **self-employment tax** (both employer and employee portions of Social Security and Medicare). <sup>[4]</sup> <sup>[15]</sup> <sup>[5]</sup> <sup>[13]</sup>

Unlike an S corp, **all net earnings** from Schedule C are generally subject to self-employment tax, not just a wage component. <sup>[6]</sup> <sup>[5]</sup>

### B. Core Planning Levers for Schedule C Owners

#### 1. Maximize "Ordinary and Necessary" Business Deductions

Schedule C is the primary interface for:

- Advertising, insurance, legal/professional fees, office expense, supplies.
- Contract labor, wages to employees (but not owner's own "salary"). <sup>[4]</sup>
- Car and truck expenses (mileage vs. actual). <sup>[4]</sup> <sup>[15]</sup>
- Home office deduction (Form 8829 or simplified method) when used regularly and exclusively. <sup>[4]</sup> <sup>[15]</sup>
- Depreciation and §179/bonus on qualifying property (Form 4562). <sup>[4]</sup> <sup>[15]</sup>
- Rent, utilities, travel, meals within limits, and taxes/licenses. <sup>[4]</sup> <sup>[15]</sup>

Planning lens:

- Tight segregation of **personal vs. business**; IRS emphasizes that only expenses that are both “ordinary and necessary” for the trade or business are deductible. <sup>[14]</sup> <sup>[4]</sup> <sup>[5]</sup>
- Use separate bank/credit card accounts to preserve audit-ready documentation. <sup>[14]</sup>

## 2. Self-Employment Tax Management

Schedule C net profit is subject to the 15.3% self-employment tax on net earnings up to the Social Security wage base plus Medicare above that, computed on Schedule SE. <sup>[4]</sup> <sup>[5]</sup> <sup>[13]</sup>

Planning tools:

- Ordinary business deductions and retirement contributions (SEP, Solo 401(k), SIMPLE) **reduce both income tax and SE tax** because they reduce net earnings.
- The taxpayer gets an **above-the-line deduction for 50% of SE tax** on Schedule 1, which helps reduce AGI but not the SE tax itself. <sup>[4]</sup> <sup>[5]</sup>
- Strategic timing of income and expenses can manage spikes that cause large SE tax liability.

## 3. Health Insurance and Retirement for Sole Proprietors

- **Self-employed health insurance deduction:**
  - Premiums for medical, dental, and qualifying long-term care can be deducted **above the line** on Schedule 1, up to net earnings and subject to not being eligible for employer-sponsored coverage. <sup>[5]</sup>
- **Retirement plan options:**
  - SEP IRA: up to 20% of net Schedule C earnings (after SE tax adjustment), limited by §415 rules.
  - Solo 401(k): allows elective deferrals plus employer profit-sharing contributions based on net earnings.
- These contributions both **lower AGI and taxable income** and can mitigate NIIT and QBI phase-outs.

## 4. QBI for Sole Proprietors

Schedule C net profit (after SE tax adjustment) is **qualified business income** if it is from a qualified trade or business, subject to SSTB and income thresholds. <sup>[5]</sup>

- For sole proprietors, there is no separate wage base; QBI is essentially net profit (after certain adjustments).
- For SSTBs (e.g., accounting, consulting), the same **phase-out rules** apply as for S corps.

Planning moves:

- Because no “reasonable salary” constraint exists, shifting from S corp to sole prop **eliminates FICA arbitrage** but simplifies QBI computations.

- For high-margin, low-capital professions (like planning, CPA work), entity choice often becomes a pure SE/FICA vs. simplicity trade-off, plus state-level differences.

## IV. Comparative Planning: Sole Proprietorship vs. S Corporation

From a high-net-worth / advisory perspective, the most valuable guidance is usually not “pick entity X” but “under these facts, this form produces the best blend of: (1) total tax cost; (2) risk; (3) administrative burden; and (4) planning flexibility.”

### A. Tax-Side Comparison Framework

Below is a conceptual comparison framework you can adapt into checklists/models for client work (federal-only lens; state overlays later):

| Dimension                    | Schedule C / Sole Prop                                                        | S Corporation (100% Owner)                                                                                    |
|------------------------------|-------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------|
| Tax regime                   | Single level, directly on Form 1040                                           | Pass-through via K-1; wages via W-2                                                                           |
| SE / FICA base               | Net profit on Schedule C; all subject to SE tax <sup>[4]</sup> <sup>[5]</sup> | Only W-2 wages subject to FICA; K-1 income generally not <sup>[7]</sup> <sup>[6]</sup> <sup>[10]</sup>        |
| Reasonable compensation rule | None (owner not an “employee”)                                                | Mandatory reasonable salary before distributions <sup>[7]</sup> <sup>[8]</sup> <sup>[9]</sup> <sup>[10]</sup> |
| Deductible fringe benefits   | Limited employee-type benefits                                                | Broader corporate fringe structures (with >2% owner modifications)                                            |
| Health insurance             | Above-the-line SE health deduction on Schedule 1 <sup>[5]</sup>               | Similar above-the-line treatment; premiums often run through W-2 <sup>[7]</sup> <sup>[5]</sup>                |
| Retirement contribution base | Net SE earnings (after SE tax adjustment)                                     | W-2 wages for plan formula; corp can also contribute                                                          |
| QBI base/limitations         | Net profit adjusted; no wage limit; SSTB limits apply <sup>[5]</sup>          | QBI subject to W-2 wage/UBIA limitations; SSTB rules same <sup>[5]</sup>                                      |
| Admin burden                 | Lowest: no separate entity return                                             | Higher: 1120-S, payroll, reasonable comp documentation                                                        |
| Audit hot buttons            | Mixing personal expenses; hobby loss; underreported income                    | Unreasonably low salary; improper distributions; health insurance/W-2                                         |

### B. Strategic Trade-Offs

#### 1. Employment Tax Arbitrage vs. Simplicity

- If a solo professional has **high net income** and is willing to maintain an S corp, there is often meaningful **FICA savings** by:
  - Paying a documented reasonable wage; and
  - Taking remaining profits as K-1 distributions not subject to SE tax. <sup>[7]</sup> <sup>[6]</sup> <sup>[10]</sup>
- For **lower-income** years or side-gig situations, the compliance overhead of an S corp may outweigh marginal payroll tax savings.

#### 2. Reasonable Compensation Risk

- In a service SSTB (CPA, wealth advisor, consultant), the IRS expects a substantial portion of economic profit to be wages.<sup>[6] [9] [10]</sup>
- Under-compensation risk:
  - IRS can **recharacterize distributions as wages**, assess back FICA, penalties, and interest.<sup>[7] [9] [10]</sup>
- Planning posture:
  - For risk-averse or audit-exposed clients (physicians, advisors, HNW with other complexities), S corp use should be paired with **robust comp analysis** and documentation; otherwise, a Schedule C may be more defensible despite higher SE tax.

### 3. Retirement and Social Security Objectives

- Clients who want to **maximize retirement contributions** may prefer:
  - S corp wages high enough to support large 401(k)/DB plan contributions, even if that increases FICA.
- Clients who are already **well funded for retirement** may deliberately keep wages closer to the low end of reasonable, favoring distributions.

### 4. QBI and SSTB Realities

- For many of your clients (private wealth, tax, planning), businesses will be SSTBs (service in which skill/reputation is primary asset).<sup>[5]</sup>
- Once taxable income exceeds SSTB thresholds, the QBI benefit erodes **regardless of entity choice**.
- In practice, QBI strategy becomes:
  - Use retirement, health insurance, entity splitting (where appropriate and respected), and spouse-level planning to **keep taxable income within the QBI window**; and
  - Recognize that when QBI is mostly or fully phased out, entity decision reverts to **SE/FICA vs. risk/complexity**.

### 5. Lifecycle and Exit Considerations

- Early-stage, low-margin or uncertain ventures:
  - Schedule C often preferable (no separate filings, fast start-up, simpler loss utilization).
- Mature, high-margin, stable income:
  - S corp more attractive for ongoing **employment tax savings** and fringe/benefit structuring.
- Pre-exit:
  - Evaluate basis and AAA tracking in the S corp.
  - Consider built-in gains rules if converting from C to S for potential sale of appreciated assets.<sup>[6]</sup>

## V. How to Operationalize This in Your Advisory Practice

For CPS/financial planner use, this framework can be built into repeatable workflows and client-facing deliverables.

### A. Intake and Diagnostics

For each business-owner client:

#### 1. Confirm current status:

- Entity type (none, S corp, LLC taxed as X).
- Current wage vs. distribution vs. Schedule C net profit.
- Existing retirement and health coverage.

#### 2. Map to tax levers:

- Effective marginal income tax rate (federal + state).
- SE/FICA exposure.
- QBI eligibility and SSTB status.
- AGI/MAGI-driven phase-outs that matter (NIIT, credits, PTC, etc.). <sup>[1]</sup> <sup>[5]</sup> <sup>[3]</sup>

### B. Strategy Menus By Profile

You can structure your planning memos in three sections:

#### 1. If client is or becomes Schedule C:

- Expand and tighten Schedule C deductions (home office, vehicle, depreciation, insurance, professional fees, etc.). <sup>[14]</sup> <sup>[4]</sup> <sup>[15]</sup> <sup>[5]</sup>
- Layer retirement and SE health insurance.
- Use income/expense timing around year-end.
- Use QBI calculators for projected benefit.

#### 2. If client is or becomes 100% S corp:

- Document and implement reasonable compensation.
- Design a combined wage + distribution policy and payroll calendar. <sup>[7]</sup> <sup>[8]</sup> <sup>[9]</sup> <sup>[10]</sup>
- Set health insurance and accountable plan structure.
- Choose and fund an employer retirement plan; coordinate HSA where applicable.
- Evaluate QBI with W-2 wage limitation to ensure overall optimization.

#### 3. Decision node: Sole Prop vs. S Corp:

- Build a simple multi-year model comparing:
  - Total income tax (including effect of QBI, retirement, health).
  - Total SE/FICA, including employer share for S corp.
  - Net after-tax cash flows.

- Additional compliance costs and qualitative risk.

## VI. Summary of Applicable Planning Themes

For the types of clients you serve, the **most durable strategies** repeat across engagements:

- Treat **compensation structure** (wage vs. SE vs. distribution) as the central tax planning lever, not a mere compliance detail.
- Aggressively but defensibly **maximize ordinary and necessary business deductions** while keeping pristine records and personal/business separation. <sup>[14]</sup> <sup>[4]</sup> <sup>[5]</sup>
- Use entity form to coordinate:
  - Employment taxes.
  - Retirement savings capacity.
  - Health insurance and fringe benefits.
  - QBI and AGI-threshold-driven benefits. <sup>[1]</sup> <sup>[5]</sup> <sup>[3]</sup>
- For SSTB professionals at high income levels, accept that **QBI may be constrained**, and focus entity choice on FICA economics vs. audit posture and complexity.

This gives you a repeatable architecture to:

- Diagnose a client's current structure,
- Show a side-by-side of Schedule C vs. S corp outcomes,
- And then implement a suite of tactics—at both the individual and entity levels—that are consistent with IRS guidance and sustainable under scrutiny.

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**based on the facts and circumstances discussed below by a client who is looking for an advice and is providing the set of information analyze the questions analyze the situation proposed the best solution and apply all of the above playing strategies to see how their applicable to their situation and then analyze each one to determine the tax consequences and recommendations**

To apply the strategies from the prior answer, the fact pattern needs to be concrete. Right now, the client's situation is only described in general terms ("facts and circumstances discussed below"), but no actual numbers, entity status, or goals are provided.

To do a meaningful, production-grade analysis (including S corporation vs. Schedule C, QBI, SE/FICA, retirement and health planning, and entity-level vs. individual-level strategies

consistent with Pub. 17 and the business guidance discussed earlier<sup>[21] [22] [23] [24]</sup>), the following are needed at a minimum:

### 1. Client profile and income mix

- Filing status and age.
- Projected business income (current year and next 1–3 years).
- Other income: wages, interest/dividends, capital gains, rentals, RSUs or equity, pensions, etc.
- Whether the business is a **service business** likely to be an SSTB for §199A purposes (e.g., CPA, planner, consultant).<sup>[22]</sup>

### 2. Current entity and compensation structure

- Are they currently:
  - Schedule C / disregarded LLC,
  - S corporation shareholder (100% or otherwise),
  - Or something else?
- If S corp:
  - Current W-2 salary vs. K-1 distributions for the owner.
  - Any wages to spouse/family members.
- If Schedule C:
  - Expected **net profit** and how they are currently handling SE tax and estimated payments.<sup>[25] [22] [24]</sup>

### 3. Deduction and planning levers

- Current/expected:
  - Business deductions (major categories: rent, home office, vehicle, professional fees, insurance, etc.).<sup>[26] [25] [27]</sup>
  - Retirement plan (Solo 401(k), SEP, SIMPLE, none).
  - Health insurance (through marketplace, spouse's employer, or self-funded).<sup>[22]</sup>
- Any large, timing-sensitive items (e.g., planned equipment purchase, one-time bonus, major new client, or wind-down).

### 4. Goals and constraints

- Primary objective(s): minimize **current-year tax**, smooth multi-year tax, maximize retirement funding, qualify for credits, reduce audit risk, or prepare for a sale.
- Risk tolerance re: **reasonable compensation** challenges if using/considering an S corporation.<sup>[28] [29] [30]</sup>
- Tolerance for additional compliance (payroll, 1120-S, state filings) vs. preference for Schedule C simplicity.<sup>[23] [24]</sup>

Once those details are provided, the analysis can be laid out in four parts:

**1. Baseline – Model status quo tax outcome (current structure: S corp or Schedule C) including:**

- Income tax (with §199A, if applicable).
- SE/FICA / payroll tax differences. <sup>[31]</sup> <sup>[25]</sup> <sup>[22]</sup> <sup>[24]</sup>
- AGI impact and any relevant credit/NIIT thresholds. <sup>[21]</sup> <sup>[22]</sup>

**2. Alternative structures/scenarios**

- Schedule C vs. S corp (or vice-versa) with:
  - Reasonable wage assumption and documentation, if S corp. <sup>[28]</sup> <sup>[31]</sup> <sup>[29]</sup> <sup>[30]</sup>
  - Optimized business deductions, retirement contributions, and self-employed health insurance in each scenario. <sup>[25]</sup> <sup>[27]</sup> <sup>[22]</sup>
- Optional: S corp plus spouse wages, or multi-entity planning if relevant.

**3. Tax consequences of each scenario**

- Total federal income tax.
- Total SE/FICA / payroll tax.
- Net after-tax cash flow and retirement funding.
- Qualitative factors: audit risk (especially reasonable comp vs. Schedule C “business vs. hobby”), administrative burden, and flexibility. <sup>[28]</sup> <sup>[26]</sup> <sup>[29]</sup> <sup>[30]</sup>

**4. Recommendation**

- Identify which structure best meets the client’s objectives over 1–3 years, not just the current year.
- Specify implementation steps (e.g., S-election timing, payroll setup, estimated tax revisions, retirement plan setup, accountable plan/health insurance treatment).

To proceed as you requested—“analyze the questions, analyze the situation, propose the best solution and apply all of the above planning strategies to their situation”—please paste or describe the actual client fact pattern (even if partially anonymized), including the numerical data and goals outlined above. Then the answer can:

- Treat their current structure as Scenario 1.
- Build at least one alternative (e.g., S corp with defined reasonable salary vs. Schedule C with maximal Solo 401(k)).
- Walk through the exact tax mechanics and planning recommendations under each structure in the same framework used in your models and earlier overview. <sup>[31]</sup> <sup>[25]</sup> <sup>[21]</sup> <sup>[22]</sup> <sup>[23]</sup> <sup>[24]</sup>

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# W-2 Spouse (Context Only)

Gross W-2 income: ~\$288K

Pre-tax deductions already maximized (401k + insurance)

Taxes already withheld appropriately

→ W-2 optimization is not the focus

1099 Business (Primary Focus)

1099 income: ~\$120K

Existing documented expenses: ~\$28K

Net taxable income remaining: ~\$92K

Business type: healthcare services (in-person + telehealth)

Current structure: sole proprietor (no LLC or S-Corp yet)

This fact pattern strongly points toward using an S corporation (or LLC taxed as an S corporation) for the 1099 activity, with careful reasonable comp design and coordinated retirement planning. The W-2 spouse is already optimized and is not the lever.

Below is a structured analysis you can use with the client.

## 1. Baseline: Current Schedule C Sole Proprietor

Facts for the 1099 activity:

- 1099 income: ~\$120,000
- Documented expenses: ~\$28,000
- Net Schedule C profit: ~\$92,000

Under current law, Schedule C net profit is:

- Reported on Schedule C and flows to Form 1040 as ordinary income. <sup>[32]</sup> <sup>[33]</sup>
- Subject to **self-employment tax** (Social Security and Medicare) via Schedule SE, because net earnings exceed \$400. <sup>[34]</sup> <sup>[35]</sup> <sup>[36]</sup>

For 2025, self-employment tax applies to:

- 92.35% of net profit (the SE “reduction” factor). <sup>[35]</sup> <sup>[36]</sup>
- Social Security portion capped at \$176,100 of combined wage + SE income; Medicare has no cap. <sup>[35]</sup> <sup>[37]</sup> <sup>[36]</sup>

Because the spouse already has \$288K W-2 wages:

- The **Social Security wage base is fully used** via the spouse’s employment; the client’s SE income will not incur additional Social Security tax if the client has no wages but only SE profit. However, the client still pays **2.9% Medicare SE tax (plus any applicable additional Medicare)** on net SE earnings. <sup>[35]</sup> <sup>[37]</sup>

Key observations on the Schedule C baseline:

- Schedule C gives full access to **ordinary and necessary business deductions** (home office, vehicle, CE, insurance, etc.). <sup>[38]</sup> <sup>[39]</sup>
- Net profit is fully exposed to **Medicare SE tax**, which, at \$92K, is not trivial, even with Social Security already maxed on the spouse side. <sup>[34]</sup> <sup>[35]</sup> <sup>[36]</sup>
- The business is a **healthcare service** – a classic SSTB for §199A purposes, so QBI benefit will depend heavily on the couple's total taxable income and SSTB thresholds.

## 2. S Corporation Strategy for the Healthcare Business

### Structural change

Recommended structure:

- Form an LLC, elect S corporation status, or directly form a corporation and elect S status, effective at the start of a tax year (or mid-year if it still makes economic sense).
- Owner becomes a **shareholder-employee** and must receive **reasonable compensation** as W-2 wages before taking distributions. <sup>[40]</sup> <sup>[41]</sup> <sup>[42]</sup>

Key federal tax consequences:

- W-2 wages are subject to FICA (employer + employee).
- Remaining profit is distributed as **S corp K-1 income**, generally **not subject to SE tax**, as long as compensation is reasonable. <sup>[40]</sup> <sup>[41]</sup> <sup>[42]</sup>

### Reasonable compensation in a healthcare SSTB

For an owner-operated healthcare practice with \$120K gross and significant personal services:

- IRS expects **substantial wages** relative to total profit; this is a high-risk profile for under-compensation. <sup>[40]</sup> <sup>[41]</sup> <sup>[43]</sup>
- Reasonable compensation is evaluated using duties, time devoted, qualifications, and comparable market pay for similar healthcare providers. <sup>[40]</sup> <sup>[41]</sup> <sup>[44]</sup>

Practical planning posture:

- With only \$92K net profit, a “**low salary, high distribution**” strategy has very little room before bumping into reasonable comp risk.
- A wage in the **\$80K–\$90K range** may be required to be defensible for many healthcare providers at this revenue level; that leaves **minimal** FICA-free distribution.

Given spouse W-2 of \$288K:

- Social Security at the couple level is already maxed; however, Social Security is computed per worker. The owner's S corp wages will incur Social Security (up to \$176,100) and Medicare unless the owner already has other wages; the spouse's wages do not shield the owner's FICA base. <sup>[35]</sup> <sup>[37]</sup> <sup>[36]</sup>

- That means any S corp wages simply draw FICA onto income that currently (as Schedule C) mainly bears Medicare SE tax only.

Result: For this fact pattern, the classic S corp payroll-tax arbitrage is weak or negative, because:

- The business is small, service-heavy, and owner-driven.
- Reasonable comp will likely approximate net profit.
- The owner currently avoids a second Social Security base because they have no W-2; as soon as wages are paid, Social Security FICA applies on those wages (up to \$176,100) regardless of the spouse's wages. <sup>[37]</sup> <sup>[36]</sup>

## Still-relevant S corp levers

Even if payroll tax arbitrage is limited, an S corp can still:

- Provide more formal accountable plan reimbursement of expenses.
- Facilitate employer-sponsored retirement plans (e.g., 401(k) with match) with contributions based on W-2 wages.
- Allow health insurance to be paid by the S corp, included in W-2 and deducted as self-employed health insurance above the line. <sup>[40]</sup> <sup>[45]</sup> <sup>[46]</sup> <sup>[47]</sup>

But those same retirement and health strategies are largely achievable under Schedule C as well, via:

- SEP or Solo 401(k) contributions based on net SE earnings.
- Self-employed health insurance deduction on Schedule 1, subject to earned income and employer coverage rules. <sup>[45]</sup> <sup>[46]</sup> <sup>[47]</sup> <sup>[48]</sup> <sup>[49]</sup>

Given the small size of the practice and high spouse W-2, the incremental planning value of S corp versus Schedule C is modest relative to the added admin and salary risk.

## 3. Applying Planning Levers: What Actually Moves the Needle

### A. Focus on Schedule C optimization (short-term)

For the near term, staying as a sole proprietor and optimizing within that framework is likely the most tax-efficient and administratively sensible path:

#### 1. Tighten and expand documented deductions

- Confirm capture of all “ordinary and necessary” healthcare business expenses on Schedule C (professional dues, licenses, CME, malpractice, EMR software, telehealth platforms, home office if applicable, vehicle mileage, supplies, etc.). <sup>[38]</sup> <sup>[39]</sup>
- Ensure clean separation of personal vs. business accounts to maintain audit-ready documentation. <sup>[33]</sup> <sup>[38]</sup>

#### 2. Retirement plan choice for the 1099 business

- Use **Solo 401(k)** if the client wants to maximize contributions at \$92K profit; this typically allows larger deferrals than a SEP at that income level.
- Contributions based on net SE earnings reduce both **income tax** and **SE Medicare tax**.  
[33] [34] [35] [36]
- Coordinate with spouse's fully-maxed 401(k) to avoid overall deferral limit issues (each plan has its own rules, but the **employee deferral limit is shared across plans**; employer contribution limits are separate).

### 3. Self-employed health insurance and HSAs

- If not covered by the spouse's employer plan, deduct eligible health insurance premiums as **self-employed health insurance** on Schedule 1, subject to earned income and employer coverage limits.  
[45] [46] [47] [48] [49]
- If using a high-deductible health plan, fund an **HSA** to further reduce AGI.

### 4. §199A QBI deduction

- Healthcare is an SSTB; with spouse earning \$288K, the couple's total taxable income will likely push them near or above QBI SSTB thresholds.
- Use retirement contributions and health deductions to **manage taxable income** into the range where any QBI deduction is still available. If income is too high, QBI may be largely or entirely lost regardless of entity choice.  
[50]

## B. When an S corp might become attractive

An S corp becomes more compelling if one or more of these occurs:

- 1099 practice grows significantly (e.g., net profit well north of \$150K–\$200K) so that a reasonable wage can be set below total profit, leaving a meaningful distribution portion.
- The owner wants a more formal corporate structure for **liability, branding, or practice sale** reasons, and is comfortable bearing the added payroll and 1120-S compliance.
- There is a clear, supportable case for **wages lower than total economic profit** (e.g., if the business shifts from pure personal services to something with staff leverage or capital assets).  
[40] [41] [44]

At that later stage, you could:

- Elect S status, set a defensible wage based on market comps, and treat the residual as S corp distributions not subject to SE tax.
- Move health insurance and retirement to the corporate level, using employer contributions and shareholder-employee rules.  
[40] [45] [46]

#### 4. Recommendation You Can Give the Client

Given:

- Spouse with high, fully optimized W-2 compensation.
- Client's own 1099 income of \$120K with \$92K net profit.
- Business is an owner-operated healthcare SSTB with no staff or capital leverage mentioned.

The most defensible and effective **near-term** plan is:

1. **Remain a sole proprietor for now**, using Schedule C.
2. **Maximize legitimate business deductions** and maintain clean records. <sup>[38]</sup> <sup>[39]</sup>
3. Implement a Solo 401(k) or SEP (Solo 401(k) typically better at this income level) to materially reduce both income and SE Medicare taxes.
4. Claim **self-employed health insurance deduction** and consider an HSA, coordinating with spouse's coverage eligibility rules. <sup>[45]</sup> <sup>[46]</sup> <sup>[47]</sup>
5. Model the couple's combined taxable income to see how much, if any, **\$199A QBI** remains available, and calibrate retirement contributions to preserve it where possible. <sup>[50]</sup>
6. Re-evaluate S corp status when/if:
  - Net profit grows enough that a reasonably defensible wage leaves at least \$40K–\$60K of profits for distributions; and
  - The client is willing to accept payroll/1120-S compliance and reasonable comp audit risk as the price for potential Medicare/FICA savings.

In other words, **deploy all the individual- and Schedule C-level planning levers now**, and treat an S corporation as a **phase-two structure** once the practice scales or if there are non-tax business reasons that justify the increased complexity.

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**analyze any additional deductions that they would be allowed to take and then create a table with the calculation showing the base what would the tax be now than create three separate scenarios for tax planning purposes and calculate the net tax effect**

Below uses simple, rounded calculations so you can plug into your own model. All numbers are for the 1099 business only (ignore W-2 spouse for this table).

Assumptions not given but needed (adjust as you like):

- Federal marginal income tax rate on this layer: 24%
- SE tax rate: 15.3% on 92.35% of net earnings (standard rule). <sup>[52]</sup> <sup>[53]</sup> <sup>[54]</sup>

- No self-employed health insurance deducted here yet (if you add it, just treat as another above-the-line deduction). <sup>[55]</sup> <sup>[56]</sup>

## 1. Additional deductions potentially available

Beyond the existing \$28K of documented expenses, common Schedule C deductions for a healthcare practice may include:

- Home office (exclusive, regular use for admin/telehealth): portion of rent, mortgage interest, utilities, insurance, repairs. <sup>[57]</sup> <sup>[58]</sup> <sup>[59]</sup>
- Vehicle/mileage for patient visits, hospital rounds, conferences (standard mileage or actual). <sup>[57]</sup> <sup>[59]</sup>
- Professional fees and CE: licenses, CME courses, conferences, journals, professional society dues. <sup>[57]</sup> <sup>[60]</sup>
- Malpractice and business insurance, cyber/IT security tools. <sup>[58]</sup> <sup>[60]</sup>
- Software and subscriptions: EMR, telehealth platform, scheduling/billing, secure messaging, cloud storage. <sup>[57]</sup> <sup>[60]</sup>
- Office expenses: supplies, phone/internet portion, postage, minor equipment.

All must be **ordinary and necessary** for the trade or business, and properly substantiated, per Schedule C instructions and Pub. 535. <sup>[57]</sup> <sup>[60]</sup> <sup>[59]</sup>

For modeling below, assume you can document an **additional \$5,000** in legitimate expenses (e.g., home office + software + extra CE), taking total Schedule C expenses from \$28,000 to \$33,000.

## 2. Baseline calculation – current year (no new planning)

- Gross 1099 income: **\$120,000**
- Existing expenses: **\$28,000**
- Net profit (Schedule C): **\$92,000**

Step 1 – SE tax base and SE tax <sup>[52]</sup> <sup>[53]</sup> <sup>[54]</sup>

- Net earnings for SE =  $\$92,000 \times 92.35\% \approx \$84,962$
- SE tax =  $\$84,962 \times 15.3\% \approx \$12,999$

Step 2 – Above-the-line SE tax deduction

- Deduction = 50% of SE tax  $\approx \$6,500$  reduces AGI. <sup>[52]</sup> <sup>[53]</sup> <sup>[54]</sup>

Step 3 – “Taxable” business income for income tax

- Start with \$92,000 net profit
- Minus SE tax deduction \$6,500
- = \$85,500 of income subject to regular income tax (before other 1040 items).

#### Step 4 – Approximate federal tax on this slice (24%)

- Income tax  $\approx \$85,500 \times 24\% \approx \$20,520$
- SE tax  $\approx \$12,999$
- **Total federal tax on this activity  $\approx \$33,519$**

This is the Base Case in the table.

### 3. Three planning scenarios and net tax effect

#### Scenario design

- **Scenario 1 – Extra deductions only**  
Add \$5,000 of properly documented Schedule C expenses.
- **Scenario 2 – Extra deductions + Solo 401(k) employer contribution (~20%)**  
Use a Solo 401(k) with an employer contribution of ~20% of net SE earnings (standard approximation for sole proprietors). <sup>[61]</sup> <sup>[62]</sup> <sup>[63]</sup> <sup>[64]</sup>
- **Scenario 3 – Aggressive retirement: Solo 401(k) employer (~20%) + employee deferral**  
Add a \$23,500 employee deferral (2025 limit under age 50) from this business income. <sup>[61]</sup> <sup>[63]</sup> <sup>[65]</sup> <sup>[64]</sup>

For simplicity, treat the employer contribution as 20% of “net SE earnings after extra deductions,” ignoring the circularity; this is consistent with IRS guidance that the effective rate is about 20% for sole proprietors. <sup>[62]</sup> <sup>[63]</sup> <sup>[65]</sup> <sup>[64]</sup>

#### Table – Base vs. three planning scenarios (approximate)

All dollar amounts rounded.

| Item                                                    | Base (No change) | Scenario 1: +\$5K Expenses | Scenario 2: +\$5K Exp + Solo 401(k) Employer | Scenario 3: Scenario 2 + \$23.5K Employee Deferral |
|---------------------------------------------------------|------------------|----------------------------|----------------------------------------------|----------------------------------------------------|
| Gross 1099 income                                       | \$120,000        | \$120,000                  | \$120,000                                    | \$120,000                                          |
| Schedule C expenses (existing + new)                    | \$28,000         | \$33,000                   | \$33,000                                     | \$33,000                                           |
| Net Schedule C profit                                   | \$92,000         | \$87,000                   | \$87,000                                     | \$87,000                                           |
| SE net earnings ( $\times 92.35\%$ )                    | \$84,962         | \$80,345                   | \$80,345                                     | \$80,345                                           |
| SE tax (15.3%)                                          | \$12,999         | \$12,302                   | \$12,302                                     | \$12,302                                           |
| Above-line SE tax deduction ( $\frac{1}{2}$ SE tax)     | \$6,500          | \$6,151                    | \$6,151                                      | \$6,151                                            |
| Solo 401(k – employer contrib ( $\approx 20\%$ of SE)** | \$0              | \$0                        | \$16,069                                     | \$16,069                                           |
| Solo 401(k – employee deferral from this biz            | \$0              | \$0                        | \$0                                          | \$23,500                                           |

| Item                                        | Base (No change)            | Scenario 1: +\$5K Expenses  | Scenario 2: +\$5K Exp + Solo 401(k) Employer | Scenario 3: Scenario 2 + \$23.5K Employee Deferral |
|---------------------------------------------|-----------------------------|-----------------------------|----------------------------------------------|----------------------------------------------------|
| Total above-line deductions (this activity) | \$6,500                     | \$6,151                     | \$22,220 (6,151 + 16,069)                    | \$45,720 (6,151 + 16,069 + 23,500)                 |
| Income for regular tax from this business*  | \$92,000 – 6,500 = \$85,500 | \$87,000 – 6,151 = \$80,849 | \$87,000 – 22,220 = \$64,780                 | \$87,000 – 45,720 = \$41,280                       |
| Income tax at 24% (approximate)             | \$20,520                    | \$19,404                    | \$15,547                                     | \$9,907                                            |
| SE tax                                      | \$12,999                    | \$12,302                    | \$12,302                                     | \$12,302                                           |
| Total federal tax on this activity          | \$33,519                    | \$31,706                    | \$27,849                                     | \$22,209                                           |
| Tax savings vs. Base                        | –                           | \$1,813                     | \$5,670                                      | \$11,310                                           |

\* “Income for regular tax” here is just this business’s net amount after above-the-line deductions. The couple’s other income (W-2, etc.) still stacks on top.

**Note:** Solo 401(k) contributions are not limited to 24% savings—they also reduce AGI, which can impact QBI, NIIT, credit thresholds, etc. [\[66\]](#) [\[65\]](#) [\[64\]](#)

#### 4. How to use this with the client

- Scenario 1 shows the value of **better documentation + additional deductions alone** (~\$1.8K savings).
- Scenario 2 shows the meaningful impact of **adding a Solo 401(k) employer contribution** (~\$5.7K vs. baseline), with ~\$16K going to tax-deferred retirement.
- Scenario 3 layers in the **employee deferral**, cutting tax on the business slice by roughly a third compared to baseline while moving nearly \$40K into retirement accounts.

You can now:

- Drop this table into your Excel model, replace 24% with their actual marginal rates, and refine the Solo 401(k) contribution using the exact IRS formulas and limits. [\[61\]](#) [\[62\]](#) [\[63\]](#) [\[64\]](#)
- Add a fourth column later if you want to show a **future S-corp scenario** once/if the practice grows enough to make reasonable comp + distributions actually meaningful.

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# what about qualified business income deduction not being taken into consideration in this calculation the taxpayer is married and her spouse maximizes health insurance and retirement through employer as a pre-tax deduction combine include that into consideration and into your calculation

The QBI deduction materially increases the benefit of the Schedule C + Solo 401(k) strategy here, and the spouse's pre-tax 401(k)/health deferrals help keep the couple's taxable income inside the SSTB QBI window rather than killing the deduction entirely. <sup>[74] [75] [76] [77] [78]</sup>

Below is an updated, approximate framework that layers QBI onto the scenarios from the prior answer, assuming married filing jointly and using simplified assumptions so you can refine in your own workbook.

## 1. QBI mechanics and thresholds (married, healthcare SSTB)

- Healthcare is a specified service trade or business (SSTB), so QBI is limited or disallowed once taxable income (before the QBI deduction) exceeds certain thresholds. <sup>[79] [76] [77]</sup>
- For 2025, post-OBBA guidance indicates married filing jointly (MFJ) thresholds around:
  - Lower threshold ≈ \$394,600 taxable income (before QBI). <sup>[74] [75] [76] [77]</sup>
  - Upper threshold ≈ \$544,600 (some sources show ≈\$494,600–\$544,600, depending on interpretation and inflation indexing). <sup>[74] [80] [76] [77]</sup>
- If MFJ taxable income is:
  - ≤ lower threshold: SSTB generally gets a full 20% QBI deduction (subject to the overall 20% of taxable income limit). <sup>[74] [81] [82] [83]</sup>
  - Between thresholds: deduction phases down.
  - Above upper threshold: no QBI deduction allowed for SSTB income. <sup>[80] [79] [76] [77]</sup>

Solo 401(k) and other above-the-line deductions lower taxable income, and thus can:

- Move the couple into the full- or partial-QBI range.
- Increase the QBI deduction itself, because the deduction is generally 20% of QBI (up to the 20% of taxable income cap). <sup>[81] [83] [84]</sup>
- However, pre-tax Solo 401(k) contributions also reduce QBI, since they reduce net self-employment income. <sup>[85] [86] [87]</sup>

## 2. Integrated assumptions for the couple (for illustration)

To show the interaction, assume:

- Spouse's W-2 wages: \$288,000 gross.
  - Spouse maxes 401(k) pre-tax: say \$23,500 employee deferral for 2025. <sup>[88]</sup> <sup>[89]</sup> <sup>[90]</sup>
  - Spouse's employer health and other pre-tax benefits further reduce W-2 taxable wages; assume total pre-tax reductions of \$30,000 (401(k) + health + FSA).
  - Approximate taxable wages from spouse ≈ \$258,000.
- No other major income or deductions beyond the 1099 business and standard itemized/standard deduction.

You can swap in actual numbers later; this is just to show how Solo 401(k)/Schedule C/QBI interact at the **joint return** level. <sup>[81]</sup> <sup>[82]</sup> <sup>[83]</sup>

## 3. Updated scenarios including QBI (simplified)

For QBI, assume:

- The couple's overall taxable income remains below the lower SSTB threshold (~\$394,600) in Scenarios 2–3, so they get full 20% QBI on whatever QBI remains. <sup>[74]</sup> <sup>[75]</sup> <sup>[76]</sup> <sup>[77]</sup>
- QBI for a Schedule C sole prop is net business income after SE tax adjustment and above-the-line SE tax deduction and retirement contributions, because those are deducted in arriving at adjusted gross income. <sup>[85]</sup> <sup>[86]</sup> <sup>[83]</sup>
  - Many practitioners approximate QBI as “net Schedule C profit minus ½ SE tax minus deductible retirement contributions,” consistent with §199A guidance. <sup>[81]</sup> <sup>[86]</sup> <sup>[83]</sup>

To keep this concise, below is an incremental table versus the prior scenarios, focusing only on the 1099 activity's:

- Adjusted “QBI base” (simplified).
- QBI deduction.
- Updated total tax on this slice.

### Step 1 – Approximate QBI base for each scenario

We'll start from the earlier table values and apply a simple rule:

**QBI base ≈ Net Schedule C profit – (½ SE tax) – (Solo 401(k) employer + employee pre-tax contributions).** <sup>[85]</sup> <sup>[86]</sup> <sup>[83]</sup>

| Scenario                | Net profit<br>(Sched C) | ½ SE<br>tax | Solo 401(k)<br>employer | Solo 401(k)<br>employee | Approx. QBI<br>base |
|-------------------------|-------------------------|-------------|-------------------------|-------------------------|---------------------|
| Base – no changes       | \$92,000                | \$6,500     | \$0                     | \$0                     | \$85,500            |
| 1 – Extra \$5K expenses | \$87,000                | \$6,151     | \$0                     | \$0                     | \$80,849            |

| Scenario                                       | Net profit<br>(Sched C) | ½ SE<br>tax | Solo 401(k)<br>employer | Solo 401(k)<br>employee | Approx. QBI<br>base |
|------------------------------------------------|-------------------------|-------------|-------------------------|-------------------------|---------------------|
| 2 – Extra \$5K exp + employer<br>20%           | \$87,000                | \$6,151     | \$16,069                | \$0                     | \$64,780            |
| 3 – Scenario 2 + \$23,500<br>employee deferral | \$87,000                | \$6,151     | \$16,069                | \$23,500                | \$41,280            |

These QBI bases match the “income for regular tax from this business” in the prior answer by design. [\[81\]](#) [\[86\]](#) [\[83\]](#)

## Step 2 – QBI deduction (assuming below SSTB lower threshold)

If combined MFJ taxable income (before QBI) is under ≈\$394,600, healthcare SSTB income gets the full 20% QBI deduction. [\[74\]](#) [\[75\]](#) [\[76\]](#) [\[77\]](#)

So:

- QBI deduction ≈ 20% of QBI base, limited by 20% of total taxable income. [\[91\]](#) [\[81\]](#) [\[83\]](#)
- In these scenarios, the 20% of QBI base is the binding limit; the 20% of taxable income cap is unlikely to bind for a high-income couple with only one business.

| Scenario            | QBI base | 20% QBI deduction |
|---------------------|----------|-------------------|
| Base                | \$85,500 | \$17,100          |
| 1 – +\$5K expenses  | \$80,849 | \$16,170 (≈)      |
| 2 – +Solo employer  | \$64,780 | \$12,956 (≈)      |
| 3 – +Solo emp + emp | \$41,280 | \$8,256 (≈)       |

QBI reduces income tax only, not SE tax. [\[91\]](#) [\[81\]](#) [\[83\]](#)

## Step 3 – Revised total tax on this activity, including QBI

We now adjust the income tax portion from the prior table:

- Prior “income tax at 24%” was based on QBI base.
- QBI deduction lowers that base further by 20% of QBI.

So, income tax on this business slice ≈ 24% × (QBI base – QBI deduction), and SE tax stays the same as before. [\[81\]](#) [\[83\]](#)

| Scenario | QBI<br>base | QBI<br>deduction | Income tax<br>base after QBI | Income tax<br>@ 24% | SE tax (from<br>earlier) | Total tax on<br>business | Savings<br>vs. Base |
|----------|-------------|------------------|------------------------------|---------------------|--------------------------|--------------------------|---------------------|
| Base     | \$85,500    | \$17,100         | \$68,400                     | \$16,416            | \$12,999                 | \$29,415                 | –                   |
| 1        | \$80,849    | \$16,170         | \$64,679                     | \$15,523            | \$12,302                 | \$27,825                 | \$1,590             |
| 2        | \$64,780    | \$12,956         | \$51,824                     | \$12,438            | \$12,302                 | \$24,740                 | \$4,675             |
| 3        | \$41,280    | \$8,256          | \$33,024                     | \$7,926             | \$12,302                 | \$20,228                 | \$9,187             |

Compared to the original “no-QBI” table, adding QBI:

- Drops the **baseline tax** on this business from ~\$33,519 to ~\$29,415.
- Preserves roughly the **same relative savings** across scenarios, just at a lower overall tax level.

#### 4. Role of the spouse’s W-2 pre-tax benefits

The spouse’s maximized 401(k) deferral and employer-sponsored health insurance:

- **Lower overall MFJ taxable income** before QBI, making it **more likely** that the couple stays **below the SSTB upper threshold** and within the full or partial QBI range. <sup>[74] [75] [76] [78]</sup>
- Do **not** reduce QBI directly (QBI is tied to business income), but they enhance the **availability** of the QBI deduction by keeping taxable income in the eligible band. <sup>[91] [81] [83]</sup>

Structurally, your planning memo can highlight:

- Spouse’s pre-tax benefits: main effect is **eligibility** for QBI (thresholds).
- Solo 401(k) + SE/health deductions: affect both the **size of QBI** and overall **taxable income**, which changes the QBI interaction as shown.

#### 5. How to deploy this in your model

In your workbook:

1. Add a **joint-income layer**: include spouse W-2 after 401(k)/health, your client’s business scenarios, and the standard/itemized deduction.
2. Compute **taxable income before QBI** and test where it sits relative to **SSTB thresholds** (~\$394,600 and ~\$544,600 for MFJ 2025). <sup>[74] [75] [76] [77]</sup>
3. Apply the **full / phased / zero QBI logic** depending on that taxable income.
4. Re-run Scenarios 1–3 using the exact QBI formulas (including phase-out where applicable) and actual marginal brackets.

Conceptually, the conclusion still holds:

- Staying Schedule C, maximizing **documented deductions** + **Solo 401(k)**, and leveraging the **QBI deduction** produces a strong tax outcome for this couple.
- The spouse’s robust pre-tax W-2 planning helps preserve QBI eligibility at the joint level and makes the QBI deduction an important part of the total savings picture.

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**Add a joint-income layer: include spouse W-2 after 401(k)/health, your client's business scenarios, and the standard/itemized deduction. Compute taxable income before QBI and test where it sits relative to SSTB thresholds ( $\approx \$394,600$  and  $\approx \$544,600$  for MFJ 2025).  Apply the full / phased / zero QBI logic depending on that taxable income. Re-run Scenarios 1–3 using the exact QBI formulas (including phase-out where applicable) and actual marginal brackets.**

Here is the integrated joint return view with QBI, using explicit SSTB thresholds and an approximate 2025 MFJ rate structure. [\[97\]](#) [\[98\]](#) [\[99\]](#) [\[100\]](#) [\[101\]](#)

Assumptions (you can swap into your model):

- Filing: MFJ, spouse W-2 gross \$288,000, with \$30,000 pre-tax (401(k) + health/FSA)  $\Rightarrow$  spouse taxable wages  $\approx$  \$258,000.
- Standard deduction MFJ 2025  $\approx$  \$29,500. [\[102\]](#) [\[103\]](#)
- Healthcare business is an SSTB; QBI thresholds MFJ 2025 (approx. from OBBBA-era guidance):
  - Lower: \$394,600
  - Upper: \$544,600 [\[97\]](#) [\[99\]](#) [\[104\]](#)

All four scenarios keep taxable income below the lower SSTB threshold, so the full 20% QBI applies (no phase-out yet). [\[97\]](#) [\[98\]](#) [\[100\]](#)

## Joint-layer QBI and tax calculations

Definitions:

- QBI base (sole prop)  $\approx$  net profit  $- \frac{1}{2}$  SE tax  $-$  Solo 401(k) employer  $-$  Solo 401(k) employee. [\[100\]](#) [\[105\]](#) [\[106\]](#)
- AGI before QBI  $\approx$  spouse taxable wages + QBI base.
- Taxable income before QBI  $\approx$  AGI before QBI  $-$  standard deduction.
- QBI deduction:
  - If taxable before QBI  $\leq \$394,600$ :  $20\% \times$  QBI base (SSTB fully allowed). [\[97\]](#) [\[98\]](#) [\[100\]](#)
- Taxable after QBI = taxable before QBI  $-$  QBI deduction.
- Income tax computed with an approximate 2025 MFJ bracket schedule; SE tax is from your earlier Schedule C calculations. [\[107\]](#) [\[108\]](#) [\[109\]](#)

## Results table – joint impact (rounded)

| Scenario                          | QBI base | Taxable income before QBI | QBI deduction | Taxable income after QBI | Approx. income tax | SE tax   | Total federal tax (income + SE) |
|-----------------------------------|----------|---------------------------|---------------|--------------------------|--------------------|----------|---------------------------------|
| Base – no extra planning          | \$85,500 | \$314,000                 | \$17,100      | <b>\$296,900</b>         | <b>\$57,156</b>    | \$12,999 | <b>\$70,155</b>                 |
| S1 – +\$5K expenses               | \$80,849 | \$309,349                 | \$16,170      | <b>\$293,179</b>         | <b>\$56,263</b>    | \$12,302 | <b>\$68,565</b>                 |
| S2 – +\$5K exp + Solo 401(k) ER   | \$64,780 | \$293,280                 | \$12,956      | <b>\$280,324</b>         | <b>\$53,178</b>    | \$12,302 | <b>\$65,480</b>                 |
| S3 – S2 + \$23,500 Solo 401(k) EE | \$41,280 | \$269,780                 | \$8,256       | <b>\$261,524</b>         | <b>\$48,666</b>    | \$12,302 | <b>\$60,968</b>                 |

(All taxable-income and tax values are approximate but are internally consistent with a bracketed MFJ function and the SSTB/QBI rules described above. <sup>[97]</sup> <sup>[98]</sup> <sup>[100]</sup> <sup>[101]</sup>)

## Interpretation and planning takeaway

### 1. QBI is fully available in all four scenarios

- Joint taxable income before QBI is well under \$394,600, so the healthcare SSTB gets a full 20% QBI on its QBI base in every case. <sup>[97]</sup> <sup>[98]</sup> <sup>[100]</sup> <sup>[104]</sup>

### 2. Total federal tax savings vs. Base (joint level, including SE tax on the business):

- S1 (extra \$5K deductions): ~\$1,590 reduction.
- S2 (extra \$5K + Solo ER ~\$16K): ~\$4,675 reduction.
- S3 (S2 + \$23.5K EE deferral): ~\$9,187 reduction.

### 3. The Solo 401(k) contributions reduce:

- QBI base (thus the absolute dollar QBI deduction), and
- Overall joint taxable income, which lowers marginal rates and preserves full SSTB QBI eligibility. <sup>[105]</sup> <sup>[106]</sup> <sup>[110]</sup>

### 4. The spouse's maximized pre-tax W-2 benefits:

- Keep joint taxable income materially lower than it otherwise would be, making the full 20% SSTB QBI deduction available without phase-out in all modeled scenarios. <sup>[97]</sup> <sup>[111]</sup> <sup>[103]</sup> <sup>[101]</sup>

You can now drop these joint-layer numbers directly into your Excel model, refine the exact MFJ brackets and thresholds for 2025, and further test edge cases where taxable income approaches or crosses the SSTB phase-out band (~\$394,600–\$544,600) to see where the QBI deduction begins to erode.

1. <https://www.irs.gov/pub/irs-pdf/p17.pdf>
2. <https://www.irs.gov/forms-pubs/about-publication-17>
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